DIGITAL GOLD?

Coinbase Global, Incorporated (NYSE: COIN)

Current Price: $195
Target Price: $259

Led by Brian Armstrong, Coinbase is a cyclical business pretending to be a growth business, and the market has not fully priced that. Across a 10-year trade cycle, the same amount of money invested in Coinbase now would have yielded far greater returns if instead invested into Bitcoin.

Rebuttal

Many investors believe the CLARITY Act will ease tension between market participants and cryptocurrency. However, the CLARITY act is specifically focused on discerning proper jurisdiction between the Commodity Features Trading Commission and the Securities and Exchange Commission for digital assets. It seeks to describe who makes the rules and how.

The CLARITY Act has not caused ~50 percent drop in Coinbase since the beginning of Q4 following its introduction to the United States government on 05/29/2025, nor will it aid portfolios in some speculative reversal.

Based on a quantitative assessment we believe the price of Coinbase and Bitcoin at large is not simply who regulates cryptocurrency but macro risk sentiment, transaction flows and over-leverage.

What really drives the price of Coinbase is Bitcoin. If Bitcoin goes up, transaction volume increases and transaction revenue increases therefore, shares of Coinbase rise–all at a respective speed. If Bitcoin goes down, transaction volume may increase but transaction revenue decreases. In that case, shares of Coinbase will fall–all at a given speed.

We are interested in the correlation between Coinbase platform adoption and the underlying asset class adoption, namely Bitcoin. These two are mutually exclusive. However, many analysts conflate the two and present the bull-case scenario which is in fact the worst-case scenario in our assessment.

Operationally, Coinbase bets on more platforms and adoption leading to a synonymous increase in shareholder value. Which is a risky bet. What does Bitcoin bet on? Nothing tangible.

A note on Bitcoin

It is also important to note that there have been ~20 million Bitcoins mined so far as of March 2026 with less than ~1 million bitcoins left. Scarcity alone does not create demand. To isolate this interesting underlying, we must pay attention to its supply and demand. The demand for bitcoin depends on the anti-

trust of existing systems not the adoption of these systems. Scarcity plus this demand is more of a price driver in Bitcoin and therefore Coinbase than some regulatory approval.

Strict governance of Bitcoin was never intended by Satoshi when he wrote about his peer-to-peer electronic cash system. However, Coinbase seeks the approval of such centralized formal systems to show their cyclical business model as an exponentially growing one.

Thesis

On February 9, 2011, Bitcoin reached a value of 1.00 for the first time ever. On February Bitcoin reached an all-time high of 97,000+ on February 5, 2026. Price improvements were due to market participants who generally were averse to any centralized finance system.

This leads us to our thesis where we believe that cryptocurrency adoption in 2026 is slow. the graph of Coinbase's current state to that of the 'Everything Exchange' will be nonlinear and provide a myriad of distinct, uncorrelated entry and exit points across the Bitcoin cycle.

We recommend investors sell Coinbase short following periods of increased macro risk sentiment (think AI and unemployment) and increased transaction flows. Under realistic conditions, high competitiveness, elevated leverage, stochastic sentiment–99% of simulated paths show Coinbase underperforming Bitcoin on a normalized basis.

We recommend supplementing with a long position in Bitcoin to hedge against risk since long-term digital assets like cryptocurrency and USDC may always grow beyond infancy.

However, currently the market is pricing in the fact that Bitcoin has been bought and sold through any venue (e.g. Binance, Kraken, ATM's, PayPal, peer-to-peer) for the past 17 years (when the first BTC was mined on January 3, 2009) and not just Coinbase. Leadership is betting their ostentatiousness may reward shareholders, but often, doesn't in the real world**.**

The Problem Of Timing

We recommend investors position themselves in a 2-pronged fashion. Firstly, after the Central Banks print money and the dollar weakens, investors can long BTC. Loose monetary policy calls for the accumulation of hard assets like Gold after excitement.

Secondly, after regulatory adoption arrives and institutional infrastructure matures, investors can short COIN where clarity in this thesis is seen as a bearish signal for Coinbase.

Let us prove it by recalling that this is an initial value problem which is an ordinary

differential equation (a differential equation dependent on a single independent variable) which specifies the value of the unknown function at a given point in the domain.

By using the Runge-Kutta method or RK4 we can approximate solutions of simultaneous non-linear equations. This helps us compute the value of Coinbase in vector times at various step-intervals since we know the path of Coinbase in the following months is likely to be nonlinear.

Basically, RK4 is statistically significant because only a method sampling the slope of that non-linear equation 4 times per step can accurately capture every variable that is continuously changing the rate of change for every other variable.

What are our variables? Macro risk sentiment impacting transaction revenue which changes Bitcoin's momentum which changes Coinbase's price. Leverage feeds into sentiment and the whole system loops again.

Additionally, we can employ a Monte Carlo simulation for approximating a probability curve at a given time interval. This leads us to some interesting insights that prove our thesis.

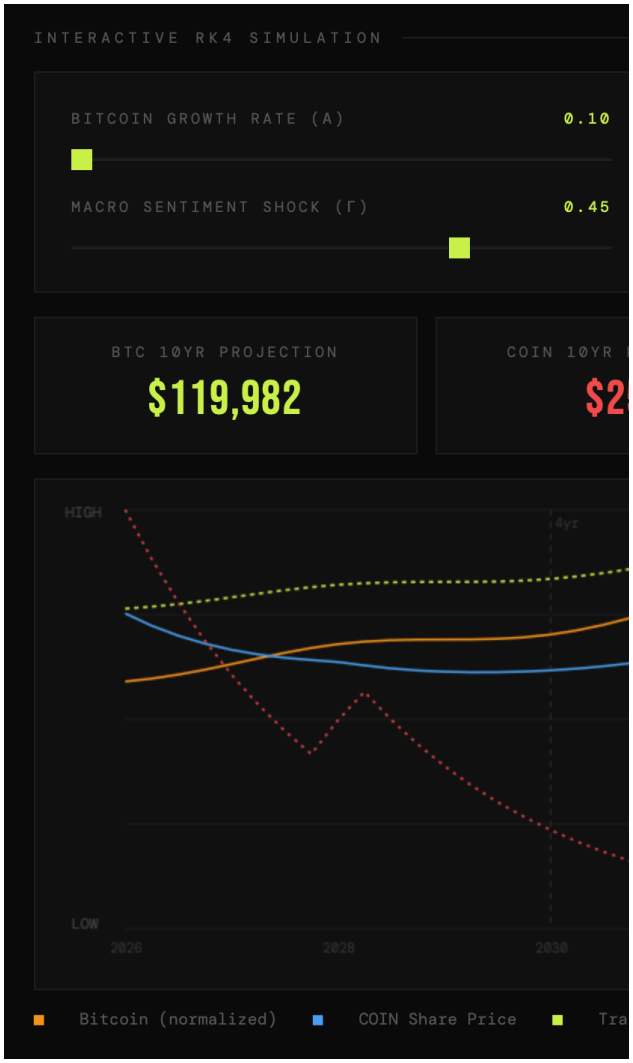
Our analysis

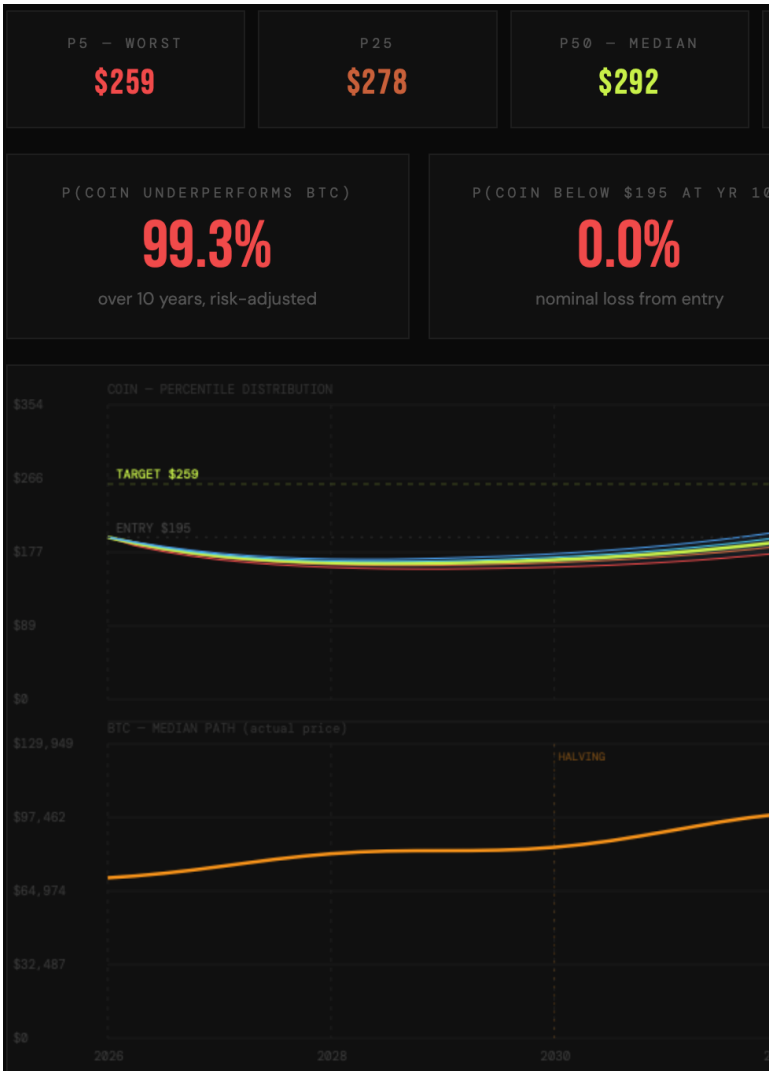
We compute the weighted average rate of change for our variables and stress test them in 5,000 simulations to arrive at a probability distribution. The distribution of Coinbase's 10-year terminal price is severely left-skewed. The median outcome lands at $292 while the price of Bitcoin reaches 120,355. What's interesting is that 99.0% of simulated paths show Coinbase underperforming Bitcoin.

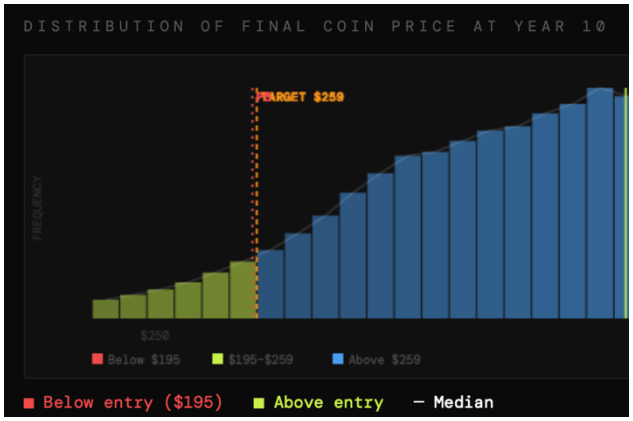
Additionally, the expected median drawdown of 33.3% confirms the cascade dynamic described in the thesis.

This leads us to our price target of $259. A realistic interpretation of Coinbase Global, Incorporated–not based on predicted cash flows and discounting them to present value—but rather a value problem of a second order derivative. Coinbase is a function of volume, which is a function of Bitcoin, which is a function of systemic distrust.

We look at a neutral case which assumes a Macro Sentiment of 0.45, a leverage ratio of 0.40, a market share loss rate of 0.15 and a modest Bitcoin growth rate of 0.10. The results are stark. A -22% ratio between COIN/BTC and a 10-year terminal value of BTC at 119,982. Even under neutral assumptions, the structural underperformance holds.







Conclusion

Essentially, the same amount of money invested in Coinbase would have yielded double the returns if invested into Bitcoin across a 10-year trade cycle. Attributing macro-risk sentiment, transaction volume, over-leverage in isolation to price improvement in COIN misses the structural mechanics of both Bitcoin and Coinbase valuation.

Appendix

These metrics overlap each other in terms of their derived definitions; however, they are structurally distinct.

We define macro risk sentiment as any geopolitical news, cybersecurity threats, and external conditions that suppress investor risk appetite independently of cryptocurrency fundamentals, including trade policy shifts, AI-driven unemployment concerns, Federal Reserve policy direction, and dollar strength. Decreased transactional volume is a response to macro risk sentiment, not a component of it.

We define transactional flows as the institutional buying or selling of Coinbase shares along with Circle, BTC, ETH, and SOL, insider buying or selling, and total addressable market compression as capital routes through Binance, Kraken, OKX, decentralized exchanges, ATMs, and peer-to-peer channels. Transaction flows are downstream of macro risk sentiment; they respond to it rather than define it.

Finally, we define over-leverage as a sort of delta to the increase or decrease in correlation between Bitcoin and Coinbase, when investors get excited about price swings. Leveraged derivatives accumulate in both BTC perpetual futures and COIN equity options during periods of excitement, temporarily tightening the relationship between the two assets beyond its structural baseline. When sentiment reverses, the unwind amplifies COIN's decline relative to Bitcoin because COIN carries both the asset class risk and the operational equity risk simultaneously. Subscription services and revenue now account for approximately 40 percent of non-GAAP Coinbase financials, but most of the revenue earned from the business model continues to stem from exchange transactions, ensuring the leverage cascade follows the pattern described in the thesis.